

Money market funds are a specific type of mutual fund that provides a relatively safe alternative to bank savings accounts. Though it's not a bad idea to keep money you need for your three-month emergency cushion (see Chapter 2) in a plain old savings account, you may also want to consider a money market fund for further savings. Usually known simply as money funds, they're typically the safest, most stable type of mutual fund, and the returns they pay tend to be higher than the rates paid on most bank savings accounts.

Don't let the name confuse you. Money market *funds* (MMFs) are very different from bank money market *accounts* (MMAs), which you learned about in Chapter 4. For one thing, the cash you put into a money fund is not federally insured like a bank money market account is. (During the financial upheavals of 2008, though, the government did temporarily insure some money funds.) Although it's rare for one of these funds to lose money—only two have done so since MMFs were first created in 1970—it can happen. (More on that in a minute.)

As with bank accounts, it's easy to withdraw your cash from a money market fund, but some MMFs have a minimum starting balance of \$1,000 or more. And there are times when money market funds pay less than a high-rate Internet bank savings account, so always make sure to compare when choosing a place to park your emergency cushion. (To learn more about high-rate Internet savings, see Chapter 4.)

What Are Money Market “Instruments”?

To better understand what money funds are, you'll need a crash course in money market instruments, the securities that money funds invest in. When large companies or governments need money for very short periods of time, they issue **money market instruments** in exchange for the cash they need. These money market instruments are basically IOUs from reliable institutions like the federal government, various state governments, and big-name corporations that promise to repay these debts very quickly. And for the most part they've kept their word. But as recently as 2008, a fund called the Reserve Primary Fund lost money (leaving investors with a bit less money than they had put in). The catalyst: the Reserve Primary Fund held IOUs from the Wall Street firm Lehman Brothers, which eventually declared bankruptcy.